

## Consolidation Engine Gains Momentum

Entero Healthcare reported a strong Q4FY26, with revenue and earnings ahead of our estimates, driven by healthy organic growth and acquisition-led scale-up. The co. continued to outperform IPM at 1.4x, supported by its pan-India distribution platform, wider manufacturer relationships and growing wallet share across pharma and healthcare products. FY26 was also a year of strong execution, with Entero delivering on its stated guidance of 4.0% EBITDA margin and positive operating cash flow of Rs 962mn, aided by better gross margins, working capital efficiencies and operating leverage. Further, the company's strategic expansion into MedTech is gaining meaningful scale, with MedTech revenues expected to cross Rs 10bn in FY27e, while also supporting margin accretion given the higher commercial role played by Entero in this segment. While we maintain our revenue estimates, we revise our margin assumptions upwards; however, our PAT after MI estimates is lowered due to higher than estimated minority interest. We maintain our positive stance though lower our rating to ACCUMULATE with revised TP at Rs 1,440.

- Robust revenue growth:** Entero reported robust revenue growth of 42.6% YoY to Rs 19.1bn (MNCL Est- Rs 17.8bn) in Q4FY26, driven by healthy organic growth and acquisition-led consolidation. Organic growth stood at 16.6% YoY, while new acquisitions contributed 26.0% to growth during the quarter. On a like-for-like basis, revenue grew 43.1% YoY, with the company continuing to outperform IPM at 1.4x. During the year, the company closed seven acquisitions, including three in MedTech, which has now become a meaningful growth lever. For FY27, management has guided 23% revenue growth, excluding any new acquisitions, driven by calendarization benefits of FY26 acquisitions and continued organic momentum across pharma and MedTech.
- Best-ever Margins-** Entero reported its best-ever margin performance in Q4FY26, with gross margins expanding by 109bps YoY to 10.9%, driven by better product mix, procurement efficiencies and higher contribution from commercial-role businesses. OPM improved by 85bps YoY to 4.5%, aided by higher gross margins and lower employee expenses (-50bps YoY), partially offset by higher other expenses (+75bps YoY). EBITDA grew 75.9% YoY to Rs 860mn (MNCL Est- Rs 746mn), led by strong revenue growth, margin expansion and operating leverage benefits. Reported PAT grew 43.6% YoY to Rs 451mn (MNCL Est- Rs 432mn); however, adjusted PAT stood at Rs 281mn, up 9.0% YoY, impacted by elevated minority interest. The higher minority interest was due to abnormal contribution from one partially owned subsidiary in Q4FY26, while the management expects to normalise in FY27. For FY26, Entero achieved its guided 4.0% EBITDA margin, while the management has guided for further improvement to 5.0% in FY27, supported by MedTech scale-up, low-margin business rationalisation and operating efficiencies.
- Outlook-** Entero delivered a strong FY26, meeting its guidance on both 4.0% EBITDA margin and positive OCF of Rs 962mn, supported by margin expansion and working capital efficiencies. Working capital improvement was aided by better operating discipline and higher trade payables, largely driven by the rising contribution of MedTech, where vendor credit periods are longer than pharma distribution. We remain positive on Entero's consolidation-led model and MedTech scale-up, which should support FY27E growth and margins. However, FY28E growth could moderate as the base becomes larger and acquisition-led contribution normalises. We maintain our revenue estimates for FY27E/FY28E, while revising margin assumptions upwards, supported by better MedTech performance and an improved overall product mix. Accordingly, our reported PAT estimates move higher; however, PAT after minority interest is revised lower versus our earlier estimates, as we factor in a higher contribution from minority-owned subsidiaries.
- Valuation and key risk-** We factor in Revenue/EBITDA/ PAT after MI CAGR of 20%/36%/48% over FY26–28E, led by organic growth, MedTech scale-up and margin expansion. While FY27E growth should remain healthy, FY28E growth could moderate as acquisition-led contribution normalises. We maintain our revenue estimates, revise margin assumptions upwards, but lower Adj. PAT estimates due to higher minority interest. **We value Entero at 25x FY28E EPS, arriving at a revised TP of Rs 1,440 (vs. Rs 1,435 earlier), and lower our rating to ACCUMULATE (vs. BUY earlier) on back of sharp-run in the last 6-months. Key risks: slower organic growth, acquisition integration challenges, higher minority interest, working capital deterioration and slower MedTech ramp-up.**

|                       |           |                        |            |
|-----------------------|-----------|------------------------|------------|
| Target Price          | 1,440     | Key Data               |            |
|                       |           | Bloomberg Code         | ENTERO: IN |
| CMP                   | 1,280     | Curr Shares O/S (mn)   | 43.5       |
|                       |           | Diluted Shares O/S(mn) | 43.5       |
| Upside                | 12.5%     | Mkt Cap (Rsbn/USDmn)   | 59.8/628   |
| Price Performance (%) |           | 52 Wk H / L (Rs)       | 1510/944   |
|                       | 1M 6M 1Yr | Daily Vol. (3M Avg.)   | 94,815     |
| ENTERO:IN             | 3.0       | 21.9                   | -13.4      |
| NIFTY                 | -0.7      | -8.7                   | -4.4       |

Source: Bloomberg, MNCL Research

## Shareholding pattern (%)

|          | Mar-26 | Dec-25 | Sept-25 | Jun-25 |
|----------|--------|--------|---------|--------|
| Promoter | 52.4   | 52.4   | 52.4    | 52.4   |
| DII's    | 16.6   | 16.4   | 9.6     | 10.2   |
| FII's    | 4.0    | 5.1    | 14.7    | 17.2   |
| Others   | 26.9   | 26.0   | 23.3    | 20.1   |

Source: BSE

## Earnings Revision

| Particulars<br>(Rs mn) | FY27E  |        |         | FY28E  |        |         |
|------------------------|--------|--------|---------|--------|--------|---------|
|                        | New    | Old    | Chg (%) | New    | Old    | Chg (%) |
| Sales                  | 81,882 | 81,345 | 0.7     | 94,902 | 94,768 | 0.1     |
| EBITDA                 | 3,930  | 3,661  | 7.4     | 4,935  | 4,549  | 8.5     |
| PAT                    | 2,370  | 2,174  | 9.0     | 3,132  | 2,768  | 13.2    |
| PAT after MI           | 1,896  | 2,054  | -7.7    | 2,506  | 2,648  | -5.4    |

Source: MNCL Research Estimates

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| Y/E Mar (Rs mn) | Revenue | YoY (%) | EBITDA | EBITDA (%) | Adj PAT | YoY (%) | Adj EPS | RoE (%) | RoCE (%) | P/E (x) | EV/EBITDA (x) |
|-----------------|---------|---------|--------|------------|---------|---------|---------|---------|----------|---------|---------------|
| FY24            | 39,223  | 18.9%   | 1,118  | 2.9%       | 391     | NM      | 9.1     | 2.4%    | 6.0%     | 112.7   | 34.6          |
| FY25            | 50,958  | 29.9%   | 1,715  | 3.4%       | 947     | 142.1%  | 24.7    | 6.1%    | 7.1%     | 54.0    | 34.1          |
| FY26P           | 65,912  | 29.3%   | 2,660  | 4.0%       | 1,232   | 30.1%   | 33.5    | 8.3%    | 10.1%    | 38.8    | 22.8          |
| FY27E           | 81,882  | 24.2%   | 3,930  | 4.8%       | 1,896   | 53.9%   | 43.6    | 11.9%   | 14.2%    | 29.4    | 15.1          |
| FY28E           | 94,902  | 15.9%   | 4,935  | 5.2%       | 2,506   | 32.2%   | 57.6    | 13.6%   | 16.6%    | 22.2    | 11.8          |

Source: Company, MNCL Research estimates, \*P- Provisional

In the interest of timeliness, this document is not edited

### Exhibit 1: Actual vs Estimates

| Particulars (Rs mn) | Q4FY26 | Q4FY26E | Var (%) | Reason                                                   |
|---------------------|--------|---------|---------|----------------------------------------------------------|
| Revenue             | 19,099 | 17,766  | 7.5%    | Better in-organic growth                                 |
| EBITDA              | 860    | 746     | 15.3%   | Cascading effect of higher revenue, and better margins   |
| EBITDA margin (%)   | 4.5%   | 4.2%    | 30bps   |                                                          |
| PAT                 | 451    | 432     | 4.4%    | Cascading effect of better operating performance         |
| PAT after MI        | 280    | 352     | (20.5%) | Higher profitability from one partially owned subsidiary |

Source: MNCL Research Estimates

### Exhibit 2: Revision in estimates

| Particulars<br>(Rs mn) | FY27E  |        |         | FY28E  |        |         |
|------------------------|--------|--------|---------|--------|--------|---------|
|                        | New    | Old    | Chg (%) | New    | Old    | Chg (%) |
| Sales                  | 81,882 | 81,345 | 0.7%    | 94,902 | 94,768 | 0.1%    |
| EBITDA                 | 3,930  | 3,661  | 7.4%    | 4,935  | 4,549  | 8.5%    |
| OPM                    | 4.8%   | 4.5%   | 30bps   | 5.2%   | 4.8%   | 40bps   |
| PAT                    | 2,370  | 2,174  | 9.0%    | 3,132  | 2,768  | 13.2%   |
| PAT after MI           | 1,896  | 2,054  | (7.7%)  | 2,506  | 2,648  | (5.4%)  |

Source: MNCL Research Estimates

We largely maintain our revenue estimates for FY27E/FY28E, while revising our margin assumptions upwards, supported by better-than-expected performance in MedTech and an improving overall product mix. We have lowered our PAT after MI to factor increase in MI compared to earlier estimates.

### Exhibit 3: Quarterly results comparison

| Y/E March (Rs mn)          | Q4FY26     | Q4FY25     | YoY          | Q3FY26     | QoQ          |
|----------------------------|------------|------------|--------------|------------|--------------|
| <b>Particulars</b>         |            |            |              |            |              |
| Net sales                  | 19,099     | 13,391     | 42.6%        | 17,065     | 11.9%        |
| Employee cost              | 648        | 520        | 24.5%        | 640        | 1.2%         |
| Other operational expenses | 17,591     | 12,381     | 42.1%        | 15,748     | 11.7%        |
| <b>Operating EBITDA</b>    | <b>860</b> | <b>489</b> | <b>75.9%</b> | <b>678</b> | <b>27.0%</b> |
| Depreciation               | 148        | 85         | 74.1%        | 98         | 51.0%        |
| <b>EBIT</b>                | <b>713</b> | <b>404</b> | <b>76.3%</b> | <b>580</b> | <b>22.9%</b> |
| Other Income               | 40         | 73         | (45.0%)      | 46         | (13.1%)      |
| Interest                   | 173        | 105        | 65.1%        | 140        | 23.6%        |
| Extra-ord Item inc/(exp)   | 0          | 0          |              | 81         |              |
| <b>Profit Before Tax</b>   | <b>579</b> | <b>372</b> | <b>55.7%</b> | <b>405</b> | <b>43.2%</b> |
| Tax                        | 128        | 58         | 120.9%       | 65         | 96.6%        |
| <b>PAT</b>                 | <b>451</b> | <b>314</b> | <b>43.6%</b> | <b>340</b> | <b>32.9%</b> |
| <b>PAT after MI</b>        | <b>280</b> | <b>257</b> | <b>9.0%</b>  | <b>277</b> | <b>1.1%</b>  |

Source: MNCL Research Estimates

## Quarterly financials

Exhibit 4: Quarterly Financials

| Y/E March (Rs mn)        | Q4FY24     | Q1FY25     | Q2FY25     | Q3FY25     | Q4FY25     | Q1FY26     | Q2FY26     | Q3FY26     | Q4FY26     |
|--------------------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|
| <b>Particulars</b>       |            |            |            |            |            |            |            |            |            |
| Net sales                | 10,342     | 10,970     | 13,007     | 13,590     | 13,391     | 14,038     | 15,709     | 17,065     | 19,099     |
| Raw materials consumed   | 9,416      | 9,971      | 11,785     | 12,256     | 12,083     | 12,642     | 14,102     | 15,339     | 17,025     |
| Staff cost               | 379        | 436        | 501        | 534        | 520        | 576        | 592        | 640        | 648        |
| Other expenses           | 258        | 262        | 297        | 300        | 298        | 319        | 395        | 408        | 566        |
| <b>Operating EBITDA</b>  | <b>289</b> | <b>302</b> | <b>424</b> | <b>500</b> | <b>489</b> | <b>501</b> | <b>621</b> | <b>678</b> | <b>860</b> |
| Depreciation             | 71         | 66         | 75         | 81         | 85         | 89         | 98         | 98         | 148        |
| Other income             | 91         | 134        | 113        | 75         | 73         | 58         | 48         | 46         | 40         |
| <b>EBIT</b>              | <b>309</b> | <b>370</b> | <b>462</b> | <b>494</b> | <b>477</b> | <b>470</b> | <b>570</b> | <b>626</b> | <b>753</b> |
| Interest                 | 173        | 97         | 115        | 100        | 105        | 107        | 124        | 140        | 173        |
| <b>Profit Before Tax</b> | <b>136</b> | <b>273</b> | <b>348</b> | <b>394</b> | <b>372</b> | <b>364</b> | <b>446</b> | <b>486</b> | <b>579</b> |
| Tax                      | (76)       | 68         | 87         | 100        | 58         | 61         | 80         | 65         | 128        |
| <b>Profit after Tax</b>  | <b>212</b> | <b>205</b> | <b>260</b> | <b>294</b> | <b>314</b> | <b>302</b> | <b>366</b> | <b>421</b> | <b>451</b> |
| <b>PAT after MI</b>      |            | <b>201</b> | <b>236</b> | <b>254</b> | <b>257</b> | <b>278</b> | <b>316</b> | <b>277</b> | <b>280</b> |
| <b>Growth (%)</b>        |            |            |            |            |            |            |            |            |            |
| Revenue                  | (132.8%)   | (616.6%)   | 30.6%      | 36.9%      | 29.5%      | 28.0%      | 20.8%      | 25.6%      | 42.6%      |
| EBITDA                   | (115.2%)   | 73.0%      | 48.6%      | 74.9%      | 69.4%      | 65.9%      | 46.2%      | 35.5%      | 75.9%      |
| PAT                      | (113.0%)   | (33.8%)    | 399.4%     | 321.8%     | 48.4%      | 47.3%      | 40.6%      | 42.8%      | 43.6%      |
| ADJ PAT                  |            |            |            |            |            | 38.4%      | 33.8%      | 8.9%       | 9.0%       |
| <b>Margin (%)</b>        |            |            |            |            |            |            |            |            |            |
| EBITDA                   | 2.8%       | 2.8%       | 3.3%       | 3.7%       | 3.7%       | 3.6%       | 4.0%       | 4.0%       | 4.5%       |
| EBIT                     | 3.0%       | 3.4%       | 3.6%       | 3.6%       | 3.6%       | 3.3%       | 3.6%       | 3.7%       | 3.9%       |
| PAT                      | 2.0%       | 1.9%       | 2.0%       | 2.2%       | 2.3%       | 2.2%       | 2.3%       | 2.5%       | 2.4%       |

Source: Company, MNCL Research

## Concall key highlights

- **Guidance delivered; FY27 growth to be more organic-led:** Entero delivered on all FY26 guidance parameters — 31.5% LFL revenue growth, 4.0% EBITDA margin and positive OCF of Rs 962mn. For FY27, the company has guided for 23% YoY revenue growth, 5.0% EBITDA margin and OCF-to-EBITDA conversion of at least 50%, excluding any new acquisitions. The 23% growth guidance includes ~11% contribution from calendarization of FY26 acquisitions, with the balance coming from organic growth.
- **Focus shifts from acquisitions to integration and organic scale-up:** After closing seven acquisitions in FY26, including three in MedTech, Entero indicated that the next 6–8 months will largely focus on organic growth, integration and extracting synergies from the acquired platform. While the company will continue to evaluate value-accretive M&A opportunities, FY27 guidance does not factor in any new acquisitions.
- **MedTech is becoming a meaningful growth and margin lever:** Entero's MedTech business has already achieved an annualized revenue run-rate of over Rs 10bn, based on the existing acquired platform. MedTech is expected to contribute more than 15% of revenue and can scale to ~20% over the next 2–3 years. The segment carries higher margins versus pharma distribution as Entero plays a larger commercial role, including demand generation, sales, installation and service support for manufacturers.
- **Gross margin expansion led by scale and commercial role:** Entero attributed gross margin improvement to better procurement economics from scale and increasing contribution from businesses where the company acts as an exclusive/full commercial partner rather than only a fulfilment distributor. Currently, 10–15% of sales comes from such commercial-role businesses, and the company expects this contribution to increase going forward.
- **Working capital is largely in place for FY27 growth:** Entero clarified that Q4FY26 revenue run-rate of ~Rs 19.0bn already implies an annualized revenue base of ~Rs 76.0bn, hence most of the working capital required for FY27 growth is already reflected in the balance sheet. Incremental working capital requirement for FY27 growth is expected to be limited, supporting the company's guidance of at least 50% EBITDA-to-OCF conversion.
- **Low-margin business rationalization to support margins:** Entero is consciously giving up certain low-margin/low-ROIC businesses and redeploying capital towards higher-return opportunities. This, along with MedTech contribution, operating leverage and commercial-role businesses, is expected to drive EBITDA margin expansion to 5.0% in FY27.
- **GLP-1 opportunity present but still small:** GLP-1 currently forms a small portion of Entero's overall product portfolio, but the company's market share in GLP-1 distribution is higher than its overall India market share due to its cold-chain infrastructure across warehouses. Entero is currently doing ~Rs 100–120mn monthly GLP-1 sales, representing ~5% of the overall GLP-1 industry value.
- **Acquisition economics remain disciplined:** Entero typically acquires businesses at 5–7x EV/EBITDA, with call options on remaining minority stakes. The path to full ownership, timelines and valuation multiples are generally pre-agreed at the time of acquisition, with residual stake buyouts typically over 3–5 years.

## Valuation, view & key risks

We factor in a Revenue/EBITDA/Adj. PAT CAGR of 20%/36%/48% over FY26–28E, supported by healthy organic growth, calendarization of FY26 acquisitions, MedTech scale-up and margin improvement. Entero delivered a strong FY26, meeting its guidance on both 4.0% EBITDA margin and positive OCF, driven by better gross margins, operating leverage and working capital efficiencies. The improvement in working capital was also aided by higher trade payables, largely due to rising MedTech contribution, where vendor credit periods are structurally higher than pharma distribution. While we expect growth momentum to remain healthy in FY27E, FY28E growth could moderate as the base becomes larger and acquisition-led contribution normalises.

We maintain our revenue estimates and revise our margin assumptions upwards; however, we lower our Adj. PAT estimates due to higher minority interest. **We value the stock at 25x FY28E EPS, arriving at a revised TP of Rs 1,440 (vs. Rs 1,435 earlier). We lower our rating to ACCUMULATE from BUY earlier on back of sharp run-up.** Key risks: slower-than-expected organic growth, integration challenges in acquired businesses, higher-than-expected minority interest, working capital deterioration and delay in MedTech scale-up.

### Exhibit 5: PE Valuation

| PE Valuation        | FY28E        |
|---------------------|--------------|
| EPS - Rs/sh         | 58           |
| Attributed multiple | 25           |
| <b>TP - Rs/sh</b>   | <b>1,440</b> |
| CMP - Rs/sh         | 1,280        |
| <b>Upside</b>       | <b>12.5%</b> |

Source: MNCL Research Estimates

# Financials

## Exhibit 6: Income Statement

| Y/E March (Rs mn)           | FY22          | FY23          | FY24          | FY25          | FY26P         | FY27E         | FY28E         |
|-----------------------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|
| <b>Net Revenues</b>         | <b>25,221</b> | <b>33,002</b> | <b>39,223</b> | <b>50,958</b> | <b>65,912</b> | <b>81,882</b> | <b>94,902</b> |
| Materials cost              | 23,124        | 30,319        | 35,704        | 46,095        | 59,108        | 73,284        | 84,747        |
| % of revenues               | 91.7%         | 91.9%         | 91.0%         | 90.5%         | 89.7%         | 89.5%         | 89.3%         |
| Employee cost               | 1,148         | 1,281         | 1,511         | 1,990         | 2,455         | 2,620         | 2,847         |
| % of revenues               | 4.6%          | 3.9%          | 3.9%          | 3.9%          | 3.7%          | 3.2%          | 3.0%          |
| Others                      | 704           | 762           | 890           | 1,157         | 1,689         | 2,047         | 2,373         |
| % of revenues               | 2.8%          | 2.3%          | 2.3%          | 2.3%          | 2.6%          | 2.5%          | 2.5%          |
| <b>EBITDA</b>               | <b>244</b>    | <b>640</b>    | <b>1,118</b>  | <b>1,715</b>  | <b>2,660</b>  | <b>3,930</b>  | <b>4,935</b>  |
| <b>EBITDA margin (%)</b>    | <b>1.0%</b>   | <b>1.9%</b>   | <b>2.9%</b>   | <b>3.4%</b>   | <b>4.0%</b>   | <b>4.8%</b>   | <b>5.2%</b>   |
| Depreciation & Amortisation | 198           | 242           | 250           | 307           | 433           | 479           | 527           |
| Other income                | 45            | 55            | 144           | 395           | 192           | 154           | 180           |
| <b>EBIT</b>                 | <b>92</b>     | <b>453</b>    | <b>1,012</b>  | <b>1,804</b>  | <b>2,419</b>  | <b>3,606</b>  | <b>4,588</b>  |
| Interest expense            | 290           | 490           | 657           | 416           | 544           | 567           | 467           |
| <b>PBT</b>                  | <b>(198)</b>  | <b>(37)</b>   | <b>356</b>    | <b>1,387</b>  | <b>1,875</b>  | <b>3,039</b>  | <b>4,122</b>  |
| Taxes                       | 96            | 74            | (42)          | 313           | 335           | 669           | 989           |
| Effective tax rate (%)      | (48.6%)       | (201.1%)      | (11.9%)       | 22.6%         | 17.9%         | 22.0%         | 24.0%         |
| <b>Reported PAT</b>         | <b>(294)</b>  | <b>(111)</b>  | <b>398</b>    | <b>1,074</b>  | <b>1,540</b>  | <b>2,370</b>  | <b>3,132</b>  |
| Minority interest           | -             | 5             | 7             | 128           | 308           | 474           | 626           |
| <b>PAT after MI</b>         | <b>(294)</b>  | <b>(116)</b>  | <b>391</b>    | <b>947</b>    | <b>1,232</b>  | <b>1,896</b>  | <b>2,506</b>  |

Source: Company, MNCL Research estimates, P - Provisional

## Exhibit 7: Key Ratios

| Y/E March                     | FY22   | FY23   | FY24  | FY25   | FY26P | FY27E | FY28E |
|-------------------------------|--------|--------|-------|--------|-------|-------|-------|
| <b>Growth Ratio (%)</b>       |        |        |       |        |       |       |       |
| Revenue                       | 41.7%  | 30.9%  | 18.9% | 29.9%  | 29.3% | 24.2% | 15.9% |
| EBITDA                        | 13.4%  | 161.9% | 74.7% | 53.4%  | 55.0% | 47.8% | 25.6% |
| PAT                           | NM     | NM     | NM    | 169.9% | 35.7% | 62.5% | 32.2% |
| PAT after MI                  | NM     | NM     | NM    | 142.1% | 21.5% | 64.8% | 32.2% |
| <b>Margin Ratios (%)</b>      |        |        |       |        |       |       |       |
| EBITDA                        | 1.0%   | 1.9%   | 2.9%  | 3.4%   | 4.0%  | 4.8%  | 5.2%  |
| PBT from operations           | (0.8%) | (0.1%) | 0.9%  | 2.7%   | 2.8%  | 3.7%  | 4.3%  |
| PAT                           | (1.2%) | (0.3%) | 1.0%  | 2.1%   | 2.2%  | 2.9%  | 3.3%  |
| <b>Return Ratios (%)</b>      |        |        |       |        |       |       |       |
| ROE                           | NM     | NM     | 2.4%  | 6.1%   | 8.3%  | 11.9% | 13.6% |
| ROCE                          | 0.6%   | 4.4%   | 6.0%  | 7.1%   | 10.1% | 14.2% | 16.6% |
| <b>Turnover Ratios (days)</b> |        |        |       |        |       |       |       |
| Debtors                       | 54     | 57     | 57    | 59     | 67    | 67    | 67    |
| Inventory                     | 45     | 38     | 39    | 47     | 47    | 47    | 46    |
| Creditors                     | 22     | 25     | 24    | 31     | 45    | 50    | 50    |
| Cash conversion cycle         | 77     | 69     | 73    | 75     | 69    | 64    | 63    |
| <b>Solvency Ratio (x)</b>     |        |        |       |        |       |       |       |
| Debt-equity                   | 0.5    | 0.6    | 0.2   | 0.2    | 0.3   | 0.3   | 0.2   |
| Interest coverage ratio       | 0.3    | 0.9    | 1.5   | 4.3    | 4.4   | 6.4   | 9.8   |
| Gross debt/EBITDA             | 11.7   | 5.8    | 2.5   | 1.7    | 2.1   | 1.4   | 0.9   |
| Current Ratio                 | 1.8    | 1.6    | 3.3   | 2.5    | 1.6   | 1.6   | 1.8   |
| <b>Per share Ratios (Rs)</b>  |        |        |       |        |       |       |       |
| Adjusted EPS                  | (76)   | (27)   | 9     | 25     | 34    | 44    | 58    |
| BVPS                          | 1,463  | 1,453  | 377   | 407    | 403   | 457   | 529   |
| <b>Valuation (x)*</b>         |        |        |       |        |       |       |       |
| P/E (adjusted)                | NM     | NM     | NM    | 54.0   | 38.8  | 29.4  | 22.2  |
| P/BV                          | 0.8    | 0.8    | 2.7   | 3.3    | 3.2   | 2.8   | 2.4   |
| EV/EBITDA                     | 24.7   | 11.2   | 34.6  | 34.1   | 22.8  | 15.1  | 11.8  |

Source: Company, MNCL Research estimates, P - Provisional

## Exhibit 8: Balance Sheet

| Y/E March (Rs mn)          | FY22          | FY23          | FY24          | FY25          | FY26P         | FY27E         | FY28E         |
|----------------------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|
| <b>SOURCES OF FUNDS</b>    |               |               |               |               |               |               |               |
| Equity Share Capital       | 39            | 41            | 435           | 435           | 435           | 435           | 435           |
| Reserves & surplus         | 5,572         | 5,909         | 15,946        | 16,806        | 16,451        | 18,821        | 21,954        |
| <b>Shareholders' fund</b>  | <b>5,610</b>  | <b>5,950</b>  | <b>16,381</b> | <b>17,241</b> | <b>16,886</b> | <b>19,256</b> | <b>22,389</b> |
| Minority Interest          | 22            | 26            | 33            | 462           | 639           | 639           | 639           |
| Lease and Liability        | 696           | 634           | 624           | 864           | 1,105         | 1,105         | 1,105         |
| Total Debt                 | 2,850         | 3,735         | 2,756         | 2,988         | 5,667         | 5,667         | 4,667         |
| Def tax liab. (net)        | 17            | 7             | 0             | 0             | 0             | 0             | 0             |
| Other Liabilities          | 44            | 54            | 71            | 201           | 552           | 552           | 552           |
| <b>Total Liabilities</b>   | <b>9,240</b>  | <b>10,407</b> | <b>19,865</b> | <b>21,757</b> | <b>24,849</b> | <b>27,219</b> | <b>29,352</b> |
| Gross Block                | 1,253         | 1,664         | 1,852         | 1,798         | 2,692         | 2,992         | 3,292         |
| Less: Acc. Depreciation    | 179           | 696           | 921           | 1,228         | 1,661         | 2,139         | 2,666         |
| Net Block                  | 1,073         | 969           | 931           | 570           | 1,031         | 852           | 626           |
| Capital WIP                | 6             | 0             | 0             | 0             | 0             | 0             | 0             |
| Net Fixed Assets           | 1,079         | 969           | 931           | 570           | 1,031         | 852           | 626           |
| Right to Use Asset         |               |               |               | 751           | 973           | 973           | 973           |
| Goodwill                   | 1,502         | 1,670         | 1,928         | 4,240         | 7,491         | 7,491         | 7,491         |
| Inventories                | 3,102         | 3,416         | 4,212         | 6,598         | 8,417         | 10,544        | 11,960        |
| Sundry debtors             | 3,746         | 5,149         | 6,154         | 8,304         | 12,124        | 15,062        | 17,457        |
| Cash                       | 465           | 254           | 1,476         | 2,293         | 1,469         | 1,963         | 2,131         |
| Other Bank Balance         | 589           | 815           | 7,455         | 311           | 149           | 149           | 149           |
| Investment                 |               |               |               | 576           | 1,299         | 1,299         | 1,299         |
| Loans & Advances           | 10            | 6             | 1             | 1             | 0             | 0             | 0             |
| Other assets               | 766           | 809           | 1,293         | 3,383         | 3,050         | 3,050         | 3,050         |
| <b>Total Current Asset</b> | <b>10,181</b> | <b>12,119</b> | <b>22,519</b> | <b>25,705</b> | <b>33,999</b> | <b>39,557</b> | <b>43,537</b> |
| Trade payables             | 1,398         | 2,105         | 2,299         | 3,973         | 7,253         | 10,039        | 11,609        |
| Other current Liab.        | 542           | 529           | 1,256         | 1,268         | 3,849         | 4,073         | 4,124         |
| Provisions                 | 80            | 46            | 29            | 27            | 51            | 51            | 51            |
| Net Current Assets         | 8,161         | 9,438         | 18,934        | 20,437        | 22,845        | 25,394        | 27,753        |
| <b>Total Assets</b>        | <b>9,240</b>  | <b>10,407</b> | <b>19,865</b> | <b>21,757</b> | <b>24,849</b> | <b>27,219</b> | <b>29,352</b> |

Source: Company, MNCL Research estimates, P - Provisional



**Exhibit 9: Cash Flow Statement**

| Y/E March (Rs mn)                               | FY22           | FY23         | FY24           | FY25         | FY26P          | FY27E        | FY28E          |
|-------------------------------------------------|----------------|--------------|----------------|--------------|----------------|--------------|----------------|
| Operating profit bef working capital changes    | (353)          | (453)        | (366)          | (769)        | 962            | 1,361        | 1,935          |
| Trade and other receivables                     | (682)          | (1,337)      | (667)          | (1,088)      | (1,146)        | (2,938)      | (2,395)        |
| Inventories                                     | (301)          | (194)        | (582)          | (1,466)      | (40)           | (2,127)      | (1,417)        |
| Trade payables                                  | 185            | 576          | 16             | 1,055        | 286            | 2,786        | 1,570          |
| Others                                          | 337            | (66)         | (247)          | (689)        | (480)          | 224          | 50             |
| Direct taxes                                    | (109)          | (124)        | (131)          | (381)        | (538)          | (669)        | (989)          |
| <b>Cash flow from operations</b>                | <b>(353)</b>   | <b>(453)</b> | <b>(366)</b>   | <b>(769)</b> | <b>962</b>     | <b>1,361</b> | <b>1,935</b>   |
| Net Capex                                       | (99)           | (55)         | (47)           | (104)        | (674)          | (300)        | (300)          |
| Others                                          | (148)          | (240)        | (6,640)        | 6,042        | 1,074          | (300)        | (300)          |
| <b>Cash flow from investments</b>               | <b>(1,617)</b> | <b>(486)</b> | <b>(7,051)</b> | <b>2,198</b> | <b>(3,031)</b> | <b>(300)</b> | <b>(300)</b>   |
| FCF                                             | (451)          | (508)        | (413)          | (872)        | 288            | 1,061        | 1,635          |
| Increase/(decrease) in debt                     | 1,433          | 885          | 615            | -            | -              | -            | (1,000)        |
| Others                                          | 2,174          | 793          | 10,306         | (595)        | (784)          | (567)        | (1,467)        |
| <b>Cash flow from financing</b>                 | <b>2,112</b>   | <b>728</b>   | <b>8,629</b>   | <b>(737)</b> | <b>1,237</b>   | <b>(567)</b> | <b>(1,467)</b> |
| <b>Net change in cash</b>                       | <b>142</b>     | <b>(211)</b> | <b>1,212</b>   | <b>693</b>   | <b>(832)</b>   | <b>494</b>   | <b>168</b>     |
| <b>Cash and Cash equivalents at end of year</b> | <b>465</b>     | <b>254</b>   | <b>1,476</b>   | <b>2,293</b> | <b>1,469</b>   | <b>1,963</b> | <b>2,131</b>   |

Source: Company, MNCL Research estimates, P - Provisional

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